

Researchers have also begun to explore the question of why these strategies produce superior returns. Today, some of the literature suggests that innate human behavioral bias plays a role in the value effect, as investors overreact to stocks or assets that have performed poorly and, underestimating their future growth prospects, oversell them. We suggest that investors should seek out approaches to exploiting the value anomaly across various asset classes, and in particular the benefits of individual security selection available within equity markets.

Momentum Strategies

Momentum in finance refers to the tendency of investments that have done well in the recent past to continue doing well, and of investments that have done poorly to continue doing poorly. As with value, the concept of momentum in securities markets has been around a long time. As far back as the 1920s, famed stock picker Jessie Livermore, immortalized in the book *Reminiscences of a Stock Operator*, was using momentum-like strategies to beat the market. With the passage of time, academics inevitably began to study the effect in earnest, beginning in roughly the 1990s, and hundreds of papers on the subject have since appeared in the literature.

Recently, Christopher Geczy and Mikhail Samanov explored the momentum effect extensively over a long time frame, in their paper *212 Years of Price Momentum (The World's Longest Backtest: 1801–2012)*, which clearly establishes and documents the persistence of momentum over two full centuries in US equity markets.^{[11](#)} Academics have now established that momentum works across a range of asset classes, and in markets outside of the United States.

Once again, as with value, it appears that innate human behavioral bias may explain the existence of the effect. New research is exploring specific behavioral traits that give rise to the momentum effect, including how investors are slow to incorporate news into their forecasts, and use recent performance of securities as a signal. We investigate value and momentum in [Chapter 8](#).